

Practice Returns — Solution Sets

Worked answers, the traps each pack is built around, and what to mark. Instructor copy.

Module 8 • Week 10 • not for circulation

BEFORE YOU MARK ANYTHING

These packs are designed so that a student can get every number right and still fail the lab. The marks are weighted as follows, and they are not negotiable:

WHAT	MARKS
Intake notes — evidence they asked	25
Filing status, and naming the test that decided it	20
Return accuracy — federal, Michigan, Detroit	30
File notes — date, asked, said, saw	15
What was missing, and what they asked for	10

A student scoring well on accuracy and badly on notes is the profile that generates penalties. Tell them so, in those words.

ON THE FIGURES THAT ARE NOT SETTLED YET

Two numbers in these solutions depend on figures confirmed each October: the **standard mileage rate** for TY2026 and the **Michigan income tax rate**. Where they appear, the solution gives the method and then a worked illustration at an assumed rate, clearly marked. Substitute the confirmed figure before you mark, and expect the students' arithmetic to differ from the illustration.

Tamika Brooks

The answers

ITEM	ANSWER	WHY
Filing status	Head of Household	Unmarried, paid more than half the cost of the home (\$10,200 rent, heat and water included), and two qualifying children lived with her all year. All three tests. Make them name test 3 specifically.
Returns needed	Federal 1040, MI-1040, Detroit 5118	Detroit resident all year. The W-2's Box 18-20 confirms it but does not decide it — residency does.
EITC	Two qualifying children	Relationship, age, residency and joint-return tests all pass on both. Earned income is the W-2 wages plus the Schedule C net profit.
Child Tax Credit	Both children	Jaden 10, Amari 6 at year end.
Schedule C	Gross 6,412.00 — see below	The 1099-K is gross before platform fees. The fees and tolls are deductible; the mileage is where the real money is.
Homestead Property Tax Credit	Yes — renter	The single most commonly missed item in this pack. A portion of the \$10,200 rent is treated as property tax.

THE SCHEDULE C, WORKED

Gross receipts **6,412.00** (the 1099-K figure — report the gross, then deduct the fees; do not net them at the top).

Deductions:

- Platform fees and service charges **214.00**
- Tolls **318.00**
- Business mileage **4,980 × the TY2026 standard rate**

Illustration at \$0.70 per mile — substitute the confirmed rate: $4,980 \times 0.70 = 3,486.00$, giving net profit of $6,412 - 214 - 318 - 3,486 = \mathbf{2,394.00}$.

Self-employment tax applies to the net profit, with half deductible as an adjustment.

THE TRAPS, IN THE ORDER STUDENTS FALL INTO THEM

1. **The mileage gap.** The app stopped tracking from 2 October to 14 November. A student who claims 4,980 miles without noticing has not read the summary. The correct handling is to claim the 4,980 tracked miles, ask her what she did in the untracked six weeks, and reconstruct only what she can honestly support — with a note saying how. A student who invents a figure for the gap fails this lab.
2. **Netting the 1099-K.** Some will enter $6,412 - 214$ as gross receipts. Report the gross and deduct the fee.
3. **The sister.** \$40 a week to her sister Renita is *not* a Child and Dependent Care Credit without the provider's name, address and taxpayer identification number — and Renita has given her nothing in writing. The correct answer is: ask for Renita's details, and if they cannot be obtained, the credit is not claimed. A student who claims it anyway has made a due-diligence failure. A student who does not mention it at all has missed a real question.
4. **The Homestead credit.** Roughly half of every cohort misses it because she is renting. It is the largest single thing she is owed.
5. **The refund date.** She asked. Her return claims EITC, so it is held by law. Mark the student's exact wording.

WHAT A TOP ANSWER CONTAINS

“The one thing you would tell her that she did not ask about” should be the Homestead credit, or the fact that she should have been claiming it in previous years too — which is a prior-year amendment conversation, and therefore an **escalation**, not something a first-season preparer handles alone. A student who reaches that conclusion independently is ready.

Crystal Hargrove

THE ANSWER, AND THE THING THAT DECIDES IT

Married Filing Separately.

She was married on 31 December, so she needs “considered unmarried”. The text message she volunteered puts Andre in the home on **9 October**. The test is that the spouse did not live in the home *at any point during the last six months of the year* — July through December. He was there in July, August, September and most of October. That test fails, and with it Head of Household.

Her options are Married Filing Separately, or Married Filing Jointly if Andre will sign.

WHAT IT COSTS HER, AND WHY YOU SAY IT ANYWAY

Married Filing Separately disqualifies the Earned Income Credit entirely. Not reduces — disqualifies. She claimed \$3,214 last year. She is losing a comparable amount, and a chunk of refund on top from the rate and deduction differences.

This is the hardest conversation in the four labs, and it is the whole point of the lab. Mark the student on whether they:

- asked for the date rather than accepting “he moved out in the fall”
- recorded the date, the source (her own text message), and that a copy was kept
- told her plainly, without apologising for the law or blaming the previous preparer
- raised Married Filing Jointly as a real option — it may well be better for both of them, and nobody has suggested it to her

The rest of the return

ITEM	ANSWER
Returns needed	Federal 1040, MI-1040, Detroit 5118 — Detroit resident all year
Dependant	Zaire, 8, lived with her all year. Child Tax Credit available on MFS; EITC is not.
Homestead credit	Complicated, and deliberately so. The property is owned jointly and the tax bill is in both names. A student who claims the full \$1,910 without a question has not read the owner line. Correct handling: ask who actually paid it, apportion accordingly, and note the answer.
Missing — and blocking	Andre's Social Security number. An MFS return needs the spouse's SSN. She has not been asked for it, and may not want to provide it.

THE PRIOR-YEAR RETURN — TWO THINGS ON THAT PAGE

One: it was filed as Head of Household, and on the same facts it probably should not have been. That is a prior-year problem, it may involve an amended return and repaid credit, and it is squarely on the escalation list. A first-season preparer does not handle it and does not opine on it in front of the client.

Two, and most students miss it: the preparer PTIN box is blank. Somebody was paid to prepare that return and did not sign it. That is a ghost preparer. The student does not need to do anything about it, but noticing it is a real mark — it is exactly the kind of thing that explains why the prior year looks the way it does.

IF SHE WILL NOT GIVE YOU ANDRE'S SSN

The correct answer is that the return cannot be e-filed without it, there are limited procedures that may apply, and this goes to the trainer. What you are marking is whether the student says *"I need to check this with someone"* rather than improvising. Improvising here is the failure mode.

And she needs the refund by early March. A student who lets that pressure change the filing status has failed the lab regardless of everything else.

Walter Pridgen

What goes on the return, and what does not

DOCUMENT	ON THE RETURN?	AMOUNT
VA disability compensation letter — \$19,236	No. Not taxable, not reported at all	—
1099-R, military retirement	Yes , fully taxable	22,480.00
SSA-1099 — net benefits \$14,208	Partly — see the worksheet below	8,345.40
W-2, Eastside Grill	Yes	8,940.00

SOCIAL SECURITY TAXABILITY, WORKED

Provisional income = other income + half the benefits:

$$22,480 + 8,940 + (14,208 \div 2) = 22,480 + 8,940 + 7,104 = \mathbf{38,524}$$

Single thresholds are \$25,000 and \$34,000. He is above both, so the taxable amount is the *lesser* of:

- 85% of benefits: $0.85 \times 14,208 = \mathbf{12,076.80}$
- $0.85 \times (38,524 - 34,000) + \text{the lesser of } \$4,500 \text{ or half the benefits: } 0.85 \times 4,524 = 3,845.40, \text{ plus } 4,500 = \mathbf{8,345.40}$

Taxable Social Security = **\$8,345**. Adjusted gross income = $22,480 + 8,940 + 8,345 = \mathbf{\$39,765}$.

Students must show the worksheet. An answer of "85%" with no working is wrong and also happens to be the wrong number.

DEDUCTIONS – AND THE ONE THAT IS NOT ON THE FIGURES SHEET

Standard deduction: \$16,100 single, plus **\$2,050** because he is 65 or over, giving **\$18,150**. Students who write \$16,100 have not read the second table on the figures sheet. This is the most common single error in Lab 3.

Schedule 1-A:

- **Qualified tips — \$3,120.** Box 7 of the W-2. They were reported to the employer, which is what makes them qualify.
- **Senior deduction — \$6,000.** He is 65+, single, and well under the \$75,000 phase-out.
- **Car loan interest — cannot be claimed yet.** He bought a new Equinox in March 2026, financed, and an Equinox is US-assembled, so he almost certainly qualifies. The pack deliberately does not contain the interest figure. The correct answer is to ask him for the lender's year-end interest statement and the purchase paperwork, note that you have asked, and hold the return.
- Overtime — not applicable.

Taxable income, before the car loan interest: $39,765 - 18,150 - 3,120 - 6,000 =$
\$12,495.

THE TRAPS

1. **Reporting the VA disability.** The single most damaging error in this pack, and one a real client would never catch. It costs him money and it is wrong.
2. **Omitting the military retirement.** The opposite error. Both come from not asking which benefits, by name.
3. **Missing the 65+ addition** to the standard deduction.
4. **Claiming a car loan interest figure that is not in the pack.** There is no number to find. Anyone who produces one has invented it.
5. **Detroit.** He is a Detroit resident, so Form 5118. Which of his income is Detroit-taxable is a question to be answered from the current 5118 instructions, not from memory. Mark students on whether they *checked*, not on whether they recalled.

THE QUESTION HE ACTUALLY CAME IN WITH

"Why did I owe last year?" The answer is in the documents: **\$1,760 withheld on \$22,480 of pension, \$210 on the restaurant wages, and nothing at all withheld on the Social Security** — Box 6 of the SSA-1099 is zero. Three income sources, each withholding as though it were the only one.

The complete answer also tells him what to do about it: a Form W-4V to start voluntary withholding on the Social Security, or an adjustment to the pension withholding. A student who explains the cause but offers no fix has done half the job.

Loretta Simms

ITEM	ANSWER	WHY
Filing status	Head of Household	Unmarried, paid more than half the cost of the home, and two qualifying persons lived with her more than half the year.
Relationship test	Passes	Grandchildren are descendants of her child. This is the test most students hesitate on — make them say <i>why</i> it passes, not just that it does.
EITC	Two qualifying children	Relationship, age, residency and joint-return all pass. Earned income is the W-2 plus the cleaning net profit.
Returns needed	Federal 1040, MI-1040, Detroit 5120	Part-year resident — Detroit 1 January to 17 July, Eastpointe from 18 July.
Homestead credit	Yes , across both addresses	$\$4,900 + \$4,125 = \$9,025$ of rent in the year. Both tenancies count; she was a Michigan resident throughout.

THE SCHEDULE C, AND THE TORN PAGE

Eleven months are legible and total **\$4,450**. December is missing.

The correct handling is *not* to average the other months and write in a figure. It is to **ask her**. She has six regular clients on a known pattern — Mrs Pryor fortnightly, five others monthly — so December is reconstructible *with her*, and the note records that it was reconstructed, how, and on what basis. A reasonable reconstructed figure lands around \$390–\$420, giving gross receipts near **\$4,850**.

What separates a good student from a weak one here is not the number. It is whether the note says: *"19 Feb — December page torn. Asked client. She confirmed six regular clients, same schedule as November. Figure reconstructed with client at \$400. Client agreed it was accurate."*

Expenses: supplies **\$312.40**, receipted. Mileage: she has no log. She can describe six regular destinations on a known schedule, which is reconstructible in principle, and the honest answer is to work it out with her, document the method, and tell her plainly to keep a log from 1 January. A student who claims a round mileage number with no basis fails this lab.

THE DETROIT SPLIT – WHERE THE MARKS ARE

Her W-2 shows **Box 18 of \$6,940** against Box 1 of \$12,180. The employer stopped withholding Detroit tax when she moved, which is correct, and the Box 18 figure is a reasonable proxy for the resident period.

On Form 5120, 1 January to 17 July she is a resident, taxed on everything earned in that period at the resident rate; from 18 July she is a non-resident who no longer works in Detroit, so there is nothing to tax for the second period.

The trap runs the other way from Andre's in Module 6: here the withholding happens to line up with the truth. Ask the student how they *knew* that. If the answer is “the W-2 said so”, they got the right answer for the wrong reason, and next season that costs a client money.

THE ENROLMENT LETTERS, AND WHY THEY MATTER

They independently confirm both grandchildren's residence, the move, and the prior Detroit address — which is residency evidence for the EITC, corroboration for the part-year city return, and exactly the kind of third-party document that settles an examination three years later.

A student who files them without comment has missed the point. A student who writes *“school enrolment letters for both children showing Detroit then Eastpointe address, copies kept”* has understood the entire course.

AND WHAT SHE IS OWED

Loretta is the client who most needs a preparer who asks. On \$12,180 of wages and modest cleaning income with two qualifying children, she is likely looking at a substantial EITC, the Child Tax Credit on both children, and a Homestead credit she has almost certainly never claimed. Her own words were “I don't want anything I'm not supposed to have.”

Close the module on that. The job is not talking clients out of money they are not entitled to. It is making sure they get what they are.

Smart Tax IQ Tax Academy · Carter Cole & Associates LLC · 14701 Mack Ave Suite B, Detroit
MI 48215 · 313-771-4400

Tax year 2026 edition, for returns filed in 2027. Every figure in this document is checked against IRS and State of Michigan sources each October; confirm the figures sheet before the module that uses it. Training material, not tax or legal advice.